BUSINESS STRATEGY

Suggested Answers
Nov-Dec 2022

Answer to the Question# 1(a):

The operational risk which could materially and adversely affect the business operations, financial condition and results of operations of Noran Corporation Limited include:

Using a single wholesaler as primary source of branded and generic pharmaceutical drugs:

The company and Nikolas Drugs Limited have various agreements and arrangements, including a pharmaceutical manufacturing (a sole manufacturing contract) and a distribution agreement pursuant to which it sources branded and generic pharmaceutical products from Nikolas and provides Nikolas the ability to access generic pharmaceutical products through its sourcing enterprises. Consequently, the business of Noran may be adversely affected by any operational, financial or regulatory difficulties that Nikolas experiences. For example, if Nikolas operations are seriously disrupted for any reason, whether due to a natural disaster, pandemic, labor disruption, regulatory action, operational systems or otherwise, it could adversely affect the business of Nikolas and the results of its operations.

Keeping existing store locations and opening new locations in desirable places on favorable terms:

Noran competes with other businesses for suitable locations for its stores. Local land regulations, environmental regulations and other regulatory requirements may impact the ability of the company to find suitable locations and influence the cost of constructing, renovating and operating stores. In addition, real estate, zoning, construction and renovation may adversely affect store openings and increase the costs. Further, changing local demographics at existing locations may adversely affect revenue and profitability levels at those stores. The terms of leases at existing store locations may adversely affect Noran if the renewal terms of are unacceptable to Noran and the company is forced to close or relocate stores. If Noran is unable to maintain its existing store locations or open new locations in desirable places and on favorable terms, the results of operations could be materially and adversely affected.

The external development-based growth strategy:

A significant element of Noran's growth strategy is to identify, pursue and successfully complete and integrate acquisitions, joint ventures and other strategic partnerships that either expand or complement its existing operations. Acquisitions and other strategic transactions involve numerous risks, including difficulties in successfully integrating the operations and personnel, navigating the necessary regulatory approvals, disruption of existing operations, difficulties in entering markets or lines of business in which the company has no or limited direct prior experience, the possible loss of key customers, and difficulties in achieving the synergies anticipated. Any failure to select suitable opportunities at fair prices, conduct appropriate due diligence, acquire and successfully integrate the acquired company could materially and adversely impact the financial condition and results of operations of Noran.

Outsourcing of business and administrative functions:
Noran outsources certain business and administrative functions and rely on third parties to perform certain services on its behalf. It relies on these third parties to meet the quality and performance requirements and to timely perform as expected. If the continuing relationship with certain third-party providers is interrupted, or if such third-party providers experience disruptions or do not perform as anticipated, the company may experience operational difficulties, reputational harm, and increased costs that could materially and adversely affect its business operations and results of operations.

The risks related to climate change:

The long-term effects of global climate change present both physical risks (such as extreme weather conditions or rising sea levels) and transition risks (such as regulatory or technology changes), which are expected to be widespread and unpredictable. These changes could over time affect, for example, the availability and cost of products, commodities and energy (including utilities), which in turn may impact the ability of Noran to procure goods or services required for the operations at the quantities and levels the company require.

Answer to the Question# 1(b):

Analysis of deodorant product segment and the recommendations:

The Boston Consulting Group Matrix (BCG Matrix), also referred to as the product portfolio matrix, is a business planning tool used to evaluate the strategic position of a firm's product and brand portfolio. It classifies the products into Star, Question Mark, Cash Cow and Dog as low or high performer depending on the relative market share and market growth rate. While the margin between a company's sales and those of the market leader or its main rival is often used to establish relative market share, the market growth may be determined using the year to year revenue.

When compared to the closest rival's sales, Vintage has a relative share of .4, Nectar of .03, Stale of 1.14, Thick of 1.28, Sour of .13, and OddSmell of 1.2; suggesting a high market share for Stale, thick and OddSmell. Considering the economic condition of the country Noran operates, a growth of 8% or more may be considered as high growth. Plotting this information into the share and growth matrix, Stale and Thick are the Star products of Noran with high market share and growth rates. Therefore, Noran needs to invest sufficient cash on these products to maintain the position.

Vintage appears to be a product of Question Mark with high growth rate but relatively low market share. One of the fundamental issues, related to this product, is whether to invest further in the product to increase the market share or allow it die. The overall deodorant market is growing with the growth of the taste of consumers. Therefore, Noran may decide to invest on Vintage to gain the desired market share.

Nectar and Sour are in the Dog quadrant with low market share and growth. They are cash trappers which tie up resources such as stocks and productive capacity, and provide a poor return on investment, not enough to achieve the organization's target of return. Therefore, the best strategy is to divest both of the products. OddSmell got relatively high market share but low market growth rate, making it a Cash Cow. Since Cash Cows provide large positive cash flows, Noran may use the cash generated from this product to finance its star products.

Answer to the Question# 1(c):

Supply chain issues and corrective actions:

The supply chain issues at Noran includes a significant paper-based work and not having sophisticated IT system, resulting in, among others, less process efficiency, higher cost, increased risk of errors and environmental damage. To make the value chain of Noran more efficient, responsive and secure, the company can use pharmaceutical supply chain IT solutions to track and monitor the flow of products, safeguard the cold chain, monitor demand signals, predict shortage risks, optimize inventory management, and improve supply chain forecasting accuracy; a sophisticated approach to the supply chain management.

Another issue of the supply chain in Noran is overstocking of inventories; resulting in significant product waste, taking up spaces and ultimately reducing the profit. To avoid this, the company can develop an optimum order quantity level and update regularly, maintain a product expiry date schedule, keep the communication line with other nearby stores for product exchange and plan ahead to ensure that the products are not stored more than the demand.

Supplier's financial distress is a major concern for Noran. Although it has not affected the supply chain operations yet, the possibility of a major supply chain disruption is imminent. Since Teva seems to be a trusted supplier and hold a good relationship with Noran, Noran can extend financial accommodation to help Teva get through this crisis e.g. accelerating payments. Nonetheless, the financial condition of Teva should be reviewed to make appropriate decision. If the review suggests the condition will be better soon, they can continue with the contract. If the condition is alarming, Noran should immediately seek for alternative suppliers and terminate the contract.

Answer to the Question# 1(d):

Ethical issues at Noran:

Noran is a pharmaceutical retailer that essentially works on the well-being of the health of people. In 2020, the company entered into a strategic partnership with a packaging company which is a subsidiary of a tobacco company. This agreement ultimately resulted in a partnership agreement with a tobacco company. Therefore, selling harmful substances to human health as a company that focuses on benefiting people's health has rather become hypocritical. If Noran continues the partnership with the packaging company, it would be considered

unethical, and the image of the company will be hampered heavily, if it has not yet. Therefore, Noran should terminate the agreement with the packaging company and issue a public statement of its effort to remain ethical.

Another issue at Noran which is creating public backlash is its operation at government hospitals which is perceived to have gained by lobbing. Lobbing may not be illegal or unethical as in many countries it has been accepted as a practice. The ethical issue, however, may be involved with gaining undue benefits which people oppose e.g., operating in government hospitals by lobbying and donating. This donation may also create an uneven field for competitors, despite this can be seen as a strategic success. Therefore, Noran should make its position clear to its stakeholders and respect the opinion of its stakeholders to remain a sustainable company.

Answer to the Question# 2(a, b & c):

Briefing note

Date: November 2022
Client: Quick Cab Limited
Purpose: The purpose of this briefing note is to communicate the outcome of the work carried by our team and other relevant issues:

(a) Dealing with the disruption:

Taxicab companies are losing market share to technology companies- Uber, for example, whereas Uber is proliferating. Industry analysts believe that although the business process of the taxi industry has been altered significantly by mobility services, a modification of existing business processes and the adoption of an effective competitive strategy can still lead taxi companies to profitability. Similarly, Quick Cab, among others, may take the following measures to be profitable:

Better customer service:

The convenience of service is critical to attracting new customers and retaining the old ones. To ensure the convenience, Quick Cab may provide apps that allow customers to request rides from any location at any time; providing customers with the services they need in a timely manner will help sustain the operations.

Ensuring better service quality has become more important than ever in the taxi cab industry to remain competitive. Using mostly new and clean vehicles, providing free water bottles, and ensuring drivers open and close car doors for passengers, for example, to offer quality service to the customers, will create customer loyalty and sustainability of operations. Overall service quality to develop trust and customer loyalty will increase profitability by repeat rides and positive word of mouth.

Competitive strategy:

Differentiating the service is crucial amid the increasing competition from mobility service providers and other traditional taxi companies. Successful differentiation strategy naturally requires, among others, solid marketing abilities, service innovation and consumer support. To achieve differentiation, Quick Cab may provide services to several medical and disabled passengers in the community, for example.

Affordability of service is one of the essential means to attract and retain customers to sustain taxicab business operations. Taxicab companies failed to sustain their operations because of their inability to make rides affordable to customers. By keeping fares low, Quick Cab could fend off competition from disruptive innovations like Uber and Pathao.

Adaptation to technological and cultural changes:

Adaption to the increasing technological and cultural changes is the key to sustaining taxicab operations amidst disruptive innovations like Uber and Pathao. Switching from the traditional radio dispatch system to the use of modern computerized systems, limiting the use of old cars, and using modern vehicles to match the taste and preferences of customers may help Quick Cab sustain its operations.

(b) Net asset-based value of Quick Cab:

The asset-based valuation focuses on a company's net asset value (NAV), or the fair market value of its total assets minus its total liabilities, to determine what it would cost to recreate the business. The following

adjustments have been made to arrive at the value of Quick Cab. All other assets and liabilities are assumed to be at their fair value.

Particulars	BDT in Million
Net asset value (as per financial statements) (200+380)	580
Add: incremental value of cars	3
Less: impairment of cars	2
outcome of litigation (32-20)	20
unrecorded liability (interest) (21-12)	9
Total value	552

The net asset value of Quick Cab is BDT 552 million. Mr Jamil can use this figure as the floor value for the proposed acquisition of Quick Cab.

(c) Ethical issue surrounding the engagement:

The ethical issues surrounding the engagement are from both ends- the PMG team and the Quick Cab current management. The CEO of Quick Cab is trying to influence one of the team members of the valuation team to get a higher value. Any form of influence to do something that would benefit the influencer and could be harmful to others would be unethical. The CEO is trying to get benefits which will result in Mr Jamil losing. PMG therefore should ensure that every measure has been taken to remain independent.

One of the team members of PMG Consultants appears to have a conflict of interest with the valuation work since his father is a member of the CPF fund. PMG should therefore remove the member immediately from the team and ensure all necessary actions have been taken to regain independence. The engagement partner may also discuss the issue and the actions he has taken with Mr Jamil to dispel mistrust.

Engagement Manager (Quick Cab Limited)

PMG Consultants

Answer to the Question# 3(a, b & c):

Evaluation of the strategies:

Strategy I - Organic growth:

Governance and control

Few ownership problems as Robin would retain control of the company.

Business management and control issues would arise as the business grows and expands geographically. Scott cannot visit every outlet every day. This may change the control culture away from an entrepreneurial culture.

Growth and profitability

Growth is restricted by financing and may be very slow.

Profit growth is also limited as the business may be unable to take advantage of economies of scale through expansion.

Risk

Lower operational risks compared to other options as speed of expansion is limited by historic performance in order to generate cash flows.

There is however limited additional financial capital to help finance expansion or repay debt.

Also growth is dependent on future operating cash flows being generated. A decline in sales, perhaps due to competition in London, would limit growth outside London.

Strategy 2 – Franchising

Governance and control

Under a franchise a firm grants other firms the right to use its brand, its product or its know-how. There is also likely to be some central control and support. In return, the franchisee will normally provide a lump sum, share of earnings and specific payments.

In the current context, a franchise is likely to be on a geographical basis in order to segregate the markets of the individual franchisees. Key points are:

- ► It maintains some general contractual control over franchisee but loses some operational control
- ► If franchising is to be taken up by many small operators, then BFC is not dominated by their business partner(s)
- ► There is a need to monitor franchisees
- ► There are quality control issues to ensure reputation is protected.

Growth and profitability

- ► Need to share profits with franchisee
- ► Retains incentives with franchisees' keeping residual rewards and using local knowledge
- ► Quicker business expansion than using BFC's own financial resources alone as with organic growth.

Risk

- ► Logistics of supplying food products on time increases risks of delays and failures in the supply chain
- ► Bad quality franchisees may harm brand name
- ► There needs to be some incentive to purchase a franchise and without successful establishment in the market outside London this may be unlikely
- ► Few risks from franchisee losses
- ► Reduced financial risk by having franchisees' own capital

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Strategy 3 - New share capital

Governance and control

Robin will lose control of the company and is thus dependent on the other shareholders. He is also likely to have reduced influence on the board of directors.

As the business grows and expands geographically Robin cannot visit every outlet every day. This may change the control culture. The other directors and shareholders may also want to change the control and reporting structure given the new stakeholder structure.

Growth and profitability

If significant new capital can be raised, then growth could be rapid in terms of the number of outlets.
Profit growth will only be rapid if the new outlets are successful.
Economies of scale and economies of scope are likely as the business expands. This should increase profitability.

The sites in provincial cities are likely to be lower cost than London thus enhancing profitability.

There may not be similar markets outside London (fewer parking problems, fewer very large offices). This may restrict profit growth.

Additional equity capital will lower financial risk through reduced gearing.

Requirement for dividend *or* exit route by new investors may limit future availability of funds.

Risk

Expansion outside Dhaka is a different market on the current business model may be inapplicable, not as successful, or more uncertain.

The brand name may be unknown outside Dhaka and thus needs to be established in each individual city. This may not be easy or quick.

There may not be the local knowledge and core competences within BFC to operate successfully in provincial cities.

Answer to the Question# 4(a):

Analysis of strategic options proposed by the marketing director through Ansoff matrix.
Ansoff matrix is as follows:

Market	Existing Product	New product
Existing market	Internal efficiency and market penetration	Product development
New market	Market development	Diversification

Internal efficiency and market penetration involve attempts to reduce cost or further penetrate existing market taking market share from the competition. The outsourcing of some manufacturing was presumably an attempt at increasing internal efficiency in order to match competitors through low cost manufacturing, but this does not appear to have generated additional sales. Thus to have market penetration, it may be better, marketing director suggests, to focus on differentiating itself from its competitors on a quality basis.

A marketing campaign aimed at emphasizing the traditional English heritage might achieve this, although the problems identified suggest that this approach may not be viable given the change in dining habits, the narrow customer base and the credit crunch. Indeed, given that HCL are operating in a niche market, their market share of penetration may already be high and there may be little scope to increase this, unless they can persuade customers to buy multiple dinner service for different occasions or increase penetration of sales to hotels and restaurants through links with restaurant owners.

Hence, increased sales growth is likely to necessitate other strategies.

Product development involves selling new products to existing customers and normally require research and development expenditure.

The introduction of Mr. Akbar's the everyday designer tableware image could be said to represent product development, although it is also possible to view this as simple an extension of the existing product range.

The fact that Rahman intents to introduce this by way of a joint venture. Would be deemed external domestic development according to Lynch expansion matrix. This share some of the risk and may allow Rahman to save marketing as it will enjoy additional publicity from the association of Mr. Akbar.

Alternatively, as this product is not going to be targeted as existing customers, who are in the older age range and may not associate with the celebrity chef, it could have argued that it is a means of market development.

Other possible product development opportunities include increased R&D to make innovations in patterns and design; own brand ranges to large retail chain; giftware, and other associated items for dining.
Market development: Market development involves selling existing products to new customers and involves investment in marketing.

In this case the marketing director is proposing two elements of market development. One domestic expansion in terms of targeting a new market of younger customers, and the other is overseas expansion in the context of exporting to the SAARC market. According to Lynch this could be achieved organically or through some form of J/V or licensing agreement. The fact that the marketing director is keen to emphasize the English heritage may mean that use of a local partner is inappropriate.

Rahman could also consider overseas development of other market in the SAARC countries like India.
Diversification involves making new products for new markets. It can be vertical, horizontal, HCL does not appear to be considering diversification at this time Possible diversification opportunities include wider ceramics manufacture for bathroom and kitchen. As they have no experience of this, it would be sensible to use external development method as joint venture or acquisition method. It is possible to argue that J/V for tableware and younger market is possible for market development.

Answer to the Question# 4(b):

Change Management issue:

Currently it appears that the Chairman has adopted a very authoritarian, centralized management structure, with all the key decisions being taken at Board level. The structure of the business does not appear to have changed despite growth.

The production director suggests that this has stifled innovation, and led to inflexibility and slow response times. He also implies that the sales forecast produced centrally may have been inaccurate causing problems of overstocking and at the same time outstanding orders. Decentralizing involves granting greater decision making power and autonomy to a wide range of manager with in the company.

Benefits of proposed change:

- Increased speed to response to change in local markets and local condition.
- May facilitate supply change changes and hence improved customer service. Individual managers are likely to have a better idea of customer requirements and can stock the products the customers actually require, reducing level of incorrect inventory.
- Local knowledge and expertise might improve quality of information and decision making and allow production to be driven by demand.
- Less rigid structure may foster a different culture and promote innovation regarding methods and designs. This may help extend the product life cycle or attract a wider range of customers.
- Would free up the Board to focus on strategic rather than operational decision making, therefore allowing the Chairman and the other directors to address the declining profitability.
- Increased responsibility may motivate more junior managers and create a career path/on the job for senior management.

Disadvantages:

- Chairman and other directors may reluctant to relinquish control.
- Lack of experience may lead managers to make incorrect decisions, exacerbating the issue of overstocking, etc. May also lead to incongruent decisions if local managers have different objectives
- Would not reduce lead time as these areas result of basing production in Asia.
- Increased need for coordination and communication as decision makers will be spread across the business.
- Like to require training of junior managers, some of them may not want the added responsibility.

Answer to the Question# 4(c):

Benchmarking issue:

By suggesting that HCL might use PCE experience, the production director is referring to the activity of benchmarking.

Bench marking is identifying, understanding and adapting business best practices and processes to lead to superior performance.

This can lead to changes which may improve productivity, reduce cost or increase competitive advantages. In HCL case it appears that a key aim is to improve its supply chain in terms of responsiveness, reliability, and relationship and hence improve customer satisfaction.

There are four bases of benchmarking:

• Internal- comparison within the business over time, or between business units.
• Competitive- Comparison with other firms in the same industry/sector.
• Best of class/activity- best practice in a different industry.
• Generic-against a conceptually similar process.

When a company or its whole industry is performing badly or losing out to other industry, there is a case for the wider perspective offered by best in class and generic benchmarking. This would involve identifying benchmarking partners.

The production director is thus correct that there may be lessons to learn from PCE's experience in re engineering their supply chain and this would be in the context of activity/best in class benchmarking.

The chairman is correct that PCE's targets may not be appropriate for HCL, but benchmarking is more than just collecting data or setting targets. HCL needs to identify the drivers of good performance. So, comparison with PCE might indicate the areas of the supply chain that HCL need to focus on and may give HCL an insight into the problems that were experienced by PCE in managing the change.

Answer to the Question# 4(d):

Corporate governance and Non-executive director issue:

Corporate governance involves the set of rules which governs the structure and determines the objectives of a company and regulate the relationship between a company's management, its board of directors and its shareholders. It is not about the day to day management of operations or the formulation of business strategy.

Key aspect of good corporate governance involve the transparency of corporate structure and operations; the accountability of managers and board of directors to shareholders and corporate responsibility towards employees, creditors, suppliers and local community.

Corporate governance code issued by IFAC and by BSEC sets out the requirements which HCL currently does not comply with:

• There should be separate chairman and CEO, whereas present chairman holding both roles.
• The board should consist of sufficient non-executive directors to prevent domination by the executive director.
• Non-executive director should establish a remuneration committee to decide on directors' remuneration and an audit committee to work with the external auditors. As there is no non-executive directors HCL does either of this currently.

As HCL is a listed company it must comply the code. A bigger issue may arise, as the institutional shareholders are becoming increasingly unhappy with the situation. In addition, NED can be a balance of power in the board. They can help improve the efficiency and effectiveness of the decision making.

Answer to the Question# 5(a):

Eaier Electronics Limited (EEL) acquired Bay Distribution Limited (BDL) in 2020 to in-house all distribution services required, a form of vertical integration. The rationale given by the Cost Controller is the acquisition will reduce the additional cost EEL incurred. However, to get a return on the investment, BDL has to charge a similar profit margin charged by other distribution companies, resulting in no changes in the cost to the group.

A post-acquisition key issue is a sudden change may create a problem for BDL to adjust its logistic services solely for EEL. Although EEL was one of the customers of BDL, customizing the whole operation to only one customer-centric is a challenge. However, in the long run, greater scales of operation may create more efficiency and better management of the transportation requirement of EEL.

Terminating all external contacts will result in an opportunity cost for BDL, which needs to take into consideration in evaluating the performance. However, another issue to consider is whether EEL could invest further in BDL to increase its capacity to reduce the opportunity cost. BDL would therefore be able to serve both external and internal customers.

In 2020, BDL operated independently, and no service at any reduced rate was provided to EEL. Therefore, a separate assessment of the financial performance appears to be appropriate. However, the proposed reduction of the transfer price by 6% will distort the arm's length price. Therefore, from 2021 onward, the reported profit of BDL would no longer be appropriate to measure the performance.

Answer to the Question# 5(b):

The issue related to the acquisition of BDL in question is whether the marketing manager has financial interest i.e. commission in the form of a referral gift for listing BDL as a service provider of EEL. The other surrounding issues are not following the listing procedure and influencing the marketing director to vote against the acquisition. Firstly, in making any ethical evaluation, the facts need to establish first. A rumour is not a good evidence to claim what happened and to present to a third party. However, it would be a starting point to establish the fact. The issue of legality needs to consider since the marketing manager is in contract with EEL. However, apart from the legal issue, there are several ethical issues to consider.

The first issue is the conflict of interest between the role of an employee and his self-interest. If self-interest overrode the company's interest, this would be a serious ethical beach with consequences. Although the marketing manager stated that the referral rewards are a policy of BDL and it has not affected the contract pricing, the question of whether the disclosure to the party related or affected is made. This does not seem to be the case. Moreover, since a serious conflict of interest is involved, the non-disclosure will not be considered fair by those affected, unless the referral reward is insignificant and just a business meeting present.

Transparency remains important in an ethical business environment. Therefore, the first thing is to make the marketing manager disclose his relation with BDL and the reward to the CEO of EEL. The CEO should decide further action on whether to terminate the employee and inform the board since the marketing director also seems to be involved either knowingly or not. If referred to the board, based on the facts, the board should decide further action whether a need has arisen to refer it to the shareholders.

Answer to the Question# 6(a):

Value chains
The Super Fabrics division

Firm Infrastructure	Company HQ - shared management, profit-orientated culture, strategic autonomy, tight financial control				
Technical Development	IT ordering systems, inventory control, payables management		Delivery IT systems	■	IT credit arrangement systems
Human Resource Development	Training HO supply staff generally and in IT systems.	Manufacturing skills training, working practices	Delivery IT systems training	Discipline relating to customer issues	Training of fitters
Procurement	Bulk buying, managing supplier relationships, payables management	Tendering system for new equipment, significant financing support		Marketing department	Financing and administration of customer credit facilities
Primary activity	Optimal delivery, sourcing high quality wool	Latest equipment, prime site factory, skilled labour	Prime sites for shops, delivery to customers	Fitting for customers, advertising	Optional cleaning service, 10-year guarantee
	Inbound Logistics	**Operations**	**Outbound Logistics**	**Marketing and Sales**	**Services**

The Super Saver Division

Firm Infrastructure	Company HQ - shared management, profit-orientated culture, strategic autonomy, tight financial control				
Technical Development	IT ordering systems, inventory control, payables management		Delivery IT systems		IT receivables systems
Human Resource Development	Limited training	Working practices, limited training	Delivery IT systems training	Discipline relating to customer issues	
Procurement	Bulk buying, managing supplier relationships, payables management	Some financing support			Receivables administration and management
Primary activity	Optimal delivery systems, JIT, sourcing low cost synthetic materials	Low cost site factory, low cost unskilled labour	Direct % delivery to customers in bulk		Make good defaults
	Inbound Logistics	**Operations**	**Outbound Logistics**	**Marketing and Sales**	**Services**

The value chain can be used to examine where value can be created using the resources of a business to generate strategic options.

The primary activities are those that create value and are directly concerned with providing the product/service. The support activities do not of themselves create value but enable the primary activities to take place with maximum efficiency.

The 'super saver' Division is pursuing a low-cost strategy within Porter's generic activities and should thus focus upon low-cost resources to produce a low-cost product. This is reflected in the low labour and materials costs in the supply side and operating activities of the value chain and the truncated delivery chain to customers, which provides only a basic service.

Conversely, the high added value product of the 'Super Fabrics' division is reflected in the higher value and better quality activities in the value chain. This includes better materials, skilled labour and advanced machinery in the supply side and operating activities of the value chain and the full sales and after sales service to customers in the latter stages of the value chain.

Answer to the Question# 6(b):

Performance measurement

The transfer pricing system currently in use adopts a fixed 10% mark-up on full cost. Given that this is imposed and does not represent a market value, it does not in any real sense reflect the performance of either the sections or the section managers.

Given that the retail function sells only 'Super Fabrics' and sells all output there is a lack of access to outside markets. This reinforces the notion that performance is not represented by the profit of each section. It may be that 10% is too high or too low depending on market conditions in the manufacturing and retail markets for this type of product.

The adequacy of any profit earned as a measure of performance, however, thus depends on how the transfer price is set. Alternatives include market prices, cost plus, two-part transfer prices, dual pricing and negotiated prices.

A problem with all these prices is that there is only one seller and only one buyer (unless purchasing and selling of carpets is to be permitted outside of the group in future) and thus any transfer price is likely to be artificial in its

determination. The resulting profit is thus likely to be inappropriate as a performance measure for both sections of the division.

Any increase in the overall profit of one section would have a corresponding reduction in the profit of the other section. In terms of measuring overall contribution to the company, any profit centre measure is thus likely to be inappropriate.

Moreover, if the manufacturing section increases the prices charged, then there may be a reduction in volumes purchased by the retail section as it may charge a higher price to customers. This may be to the detriment of the company as a whole.

There are a number of other problems.

- A budget or some other measure of expectations is needed against which to judge profit.
- The sections have no control over new investment (i.e. they are not investment centres). As a result, any element of their performance arising from new equipment, or the lack of it, is not attributable to section managers.
- Given that there is a mark-up on cost, there is an incentive for jthe manufacturing section to pass on any inefficiencies as any increase in costs can be passed on to the retail division, with a 10% premium on top. There is thus the perverse incentive that the greater the inefficiency in cost control in the manufacturing section the greater its profit.

One of the issues with these measures is that they are solely financial. A balanced scorecard approach would give a series of critical success factors and key performance indicators which are both financial and non financial. The four key headings would be Financial Perspectives, Customer Perspectives, Internal Business Perspectives, and Innovation and Learning Perspectives.

A further option would be to assess the performance of each section in relative terms by using benchmarking. This could involve comparing its performance against competitor companies (i.e. competitive benchmarking) or against the performance of similar functions (i.e. activity/process benchmarking). These methods are likely to be imprecise and involve a degree of subjectivity.

Answer to the Question# 6(c):

Change management

Change such as that suggested may be described as reconstruction. The whole business is affected but the cultural paradigm remains the same. All change tends to be resisted by employees. Obviously changes involving redundancy and downsizing of operations will be resisted even more strongly.

Barriers to the change will stem from the very real fears about job security and earnings, fear of the unknown as the newly styled organisation will be very different from the current one and from a feeling that the psychological contract between employee and company is being breached. It will be essential that these forces resisting the change are broken down.

The key stakeholders involved must be identified and encouraged to support the change. Unions must be consulted and the case for change to ensure survival of the division made clear.

A change agent may be appointed to oversee the reorganisation. Ideally someone from outside the division, the change agent must be able to communicate the benefits of change and where possible involve the remaining staff in the process. This will help to strengthen the forces for change.

Communication will be an essential part of the process - with the press (to preserve PR) and key customers (the warehouses and contractors will need reassurance about quality and reliability), as well as with staff.

Once the change has occurred, Lewin would argue it is necessary to 'refreeze' the new methods. This will involve ensuring that the remaining staff adapt to the new business model and are motivated to work within it. The newly appointed staff should not present a problem as they had not worked under the old one.

Techniques such as introducing new reward systems and changing the way in which activities are carried out should help to embed the new model.

---The End---